

Question #1 of 15

Question ID: 1472755

Which of the following would be *least likely* to help control the principal-agent relationship (PAR) problem?

- A) Fire employees who misbehave.
 - B) Increase the asymmetry of information between the owners of the firm and the employees.
 - C) Alter the behavior of executives through goal setting.
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Question ID: 1472756

All of the following are examples of the principal-agent relationship (PAR) problem *EXCEPT*:

- A) an employee calls in sick to use up their sick time since they cannot carry it over to the next year.
 - B) two members of a board of directors are having an illicit relationship.
 - C) a senior executive routinely leaves the office early claiming to work from home yet there is no accountability.
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Question #3 of 15

Question ID: 1472764

Regarding the process of evaluating ESG risk exposures and investment opportunities related to a company, it is *least likely* that ESG integration will be used in:

- A) fixed-income analysis to identify upside opportunities.
 - B) equity analysis to identify downside risk.
 - C) fixed-income analysis to identify downside risk.
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Question ID: 1472759

Which of the following scenarios is *NOT* an example of a principal-agent problem?

- A)** A board member also serves as a consultant to the company.
 - B)** Top management is awarded large amounts of executive stock options.
 - C)** A senior manager also serves as a director on the board of another company.
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Question ID: 1472763

In the process of identifying and evaluating ESG-related risk exposures and investment opportunities, there is greatest consistency across companies in considerations related to:

- A)** environmental.
 - B)** social.
 - C)** corporate governance.
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Question ID: 1472760

Which of the following *least accurately* describes one of the nontraditional "ESG" business factors that may be critical to a company's long-term sustainability?

- A)** governance risk exposures
 - B)** security risk exposures
 - C)** environmental risk exposures
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Question ID: 1472761

CEO duality exists when the chief executive officer:

- A)** also has a controlling interest in the firm.
 - B)** is simultaneously realistic and optimistic.
 - C)** also serves as chairperson of the board.
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Question ID: 1472762

The boards in a two-tier board of directors are *most likely* to be structured as a:

- A) executive board and a non-executive board.
 - B) external board and an internal board.
 - C) supervisory board and a management board.
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Question #9 of 15

Question ID: 1472757

The principal-agent problem can *best* be described as:

- A) the agent may act for the well-being of the principal rather than that of the stakeholders.
 - B) the agent may act for the well-being of management rather than that of the stakeholders.
 - C) the agent may act for his own well-being rather than that of the principal.
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Maria Guadalupe Hernandez is a securities analyst with Grupo Financiero Evaluar, S.A.B. de C.V. (Evaluar). Hernández is responsible for covering eleven companies in the Consumer Staples industry. Hernandez reports to Jose Antonio Rodriguez, a senior analyst and partner with the firm.

Although Rodriguez has for a long time been aware that corporate governance can have a significant impact on a firm's long-term performance, he has more recently become increasingly concerned with environmental and social factors, specifically how companies manage related resources and risk exposures.

Rodriguez has noted that mismanagement of ESG factors has led to a number of widely reported corporate events that have had significant negative impacts on securities prices. In addition to focusing on corporate ownership structures and how these ownership structures may affect corporate governance outcomes, Rodriguez has asked Hernandez to also take into account ESG-related risks and opportunities that are relevant to security analysis.

Rodriguez has asked Hernandez to begin incorporating environmental, social, and governance (ESG) considerations into her investment analyses, in order to provide a broader perspective on the risks and investment opportunities of the various companies' securities that she analyses.

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Question ID: 1472766

Hernandez is *most* likely to encounter principal-agent problems when analyzing a company with an ownership structure that combines:

- A) dispersed ownership and concentrated voting power.
 - B) dispersed ownership and dispersed voting power.
 - C) concentrated ownership and concentrated voting power.
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Question ID: 1472767

Hernandez is analyzing the securities of a company that has mutual business interests with another company. Two firms have cross-holding share arrangements with each other. Hernandez could best describe this structure as:

- A) horizontal ownership.
 - B) pyramid ownership.
 - C) vertical ownership.
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Question ID: 1472768

Rodriguez points out to Hernandez that CEO duality is present in one of the firms that Hernandez is analyzing. It would be *most* accurate for Hernandez to describe CEO duality as the scenario where the chief executive officer also serves as the firm's:

- A) chief operating officer.
 - B) chairperson.
 - C) president.
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Question ID: 1472769

When integrating corporate governance and ESG factors in investment analysis, Hernandez is *least* likely to face which of the following challenges?

- ESG information and metrics are inconsistently reported by companies, and such disclosures are voluntary.
- Corporate governance considerations, such as the structure of the board of directors, tend to be inconsistent across most companies.
- It is difficult to identify and obtain ESG information that is relevant and useful.
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Question ID: 1472758

A principal-agent problem may exist between:

- A) managers and directors.
- B) regulators and directors.
- C) shareholders and directors.
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Question #15 of 15

Question ID: 1472754

Which of the following *best* describes the principal-agent problem? An example of the principal-agent problem is when:

- A) a lawyer recommends protracted legal proceedings to her client.
- B) a board of directors take advantage of their position at the expense of the shareholders.
- C) owners of the firm gain at the expense of the employees.